**Note E — Income Taxes**

The income tax provision consisted of the following for the three fiscal years ended March 31, 2011, 2012 and 2013:

| | 2011 | 2012 | 2013 |
|---|---|---|---|
| Current — Federal | $ 8,888,000 | $ 5,896,000 | $11,236,000 |
| Current — State | 3,228,000 | 1,938,000 | 3,653,000 |
| Subtotal | 12,116,000 | 7,834,000 | 14,889,000 |
| Deferred — Federal | 1,136,000 | 8,104,000 | 2,310,000 |
| Deferred — State | (512,000) | 947,000 | (34,000) |
| Subtotal | 624,000 | 9,051,000 | 2,276,000 |
| | $12,740,000 | $16,885,000 | $17,165,000 |

The following is a reconciliation of the income tax provision from the statutory federal income tax rate to the effective rate for the three fiscal years ended March 31, 2011, 2012 and 2013:

| | 2011 | 2012 | 2013 |
|---|---|---|---|
| Income taxes at federal statutory rate (35%) | $13,091,000 | $15,203,000 | $15,363,000 |
| State income taxes, net of federal benefit | 1,772,000 | 1,615,000 | 1,172,000 |
| ASC 740-10 Provision | (1,649,000) | 26,000 | 26,000 |
| Other | (474,000) | 41,000 | 604,000 |
| | $12,740,000 | $16,885,000 | $17,165,000 |





**CORVEL CORPORATION**

**NOTES TO CONSOLIDATED FINANCIAL STATEMENTS — (Continued)**

Income taxes paid totaled $13,740,000, $12,935,000, and $9,663,000 for the fiscal years ended March 31, 2011, 2012, and 2013, respectively.

Deferred tax assets and liabilities at March 31, 2012 and 2013 are:

| | 2012 | 2013 |
|---|---|---|
| Deferred income tax assets: | | |
| Accrued liabilities not currently deductible | $ 5,123,000 | $ 5,075,000 |
| Allowance for doubtful accounts | 958,000 | 918,000 |
| Stock-based compensation | 1,605,000 | 925,000 |
| Other | 1,760,000 | 805,000 |
| Deferred assets | 9,446,000 | 7,723,000 |
| Deferred income tax liabilities: | | |
| Excess of book over tax basis of fixed assets | (14,220,000) | (14,277,000) |
| Intangible assets | (4,256,000) | (4,728,000) |
| Other | (471,000) | (495,000) |
| Deferred liabilities | (18,947,000) | (19,500,000) |
| Net deferred tax asset/(liability) | $ (9,501,000) | $(11,777,000) |

Prepaid expenses and taxes include $7,909,000 and $2,833,000 at March 31, 2012 and 2013, respectively, for income taxes due in the first quarter of the succeeding fiscal year.

A reconciliation of the financial statement recognition and measurement of a tax position beginning and ending of the current fiscal year unrecognized tax benefit as follows:

| | |
|---|---|
| Balance as of March 31, 2012 | $ 983,000 |
| Additions based on tax positions related to the current year | 111,000 |
| Additions for tax positions of prior years | 167,000 |
| Reductions for tax positions of prior years | (489,000) |
| Balance as of March 31, 2013 | $ 772,000 |

The Company recognizes interest and penalties related to uncertain tax positions in income tax expense. During the fiscal years ended March 31, 2011, 2012 and 2013, the Company recognized approximately ($1,270,000), ($396,000) and $80,000 in interest and penalties, respectively. As of March 31, 2011, 2012 and 2013, accrued interest and penalties related to uncertain tax positions were $572,000, $176,000 and $257,000, respectively.

The Company believes there will be a material reduction in its unrecognized tax benefits within the next 12 months due to settlements with various tax jurisdictions.

The tax fiscal years 2009-2012 remain open to examination by the major taxing jurisdictions to which the Company is subject.